

is liable only for not having done what it was his duty to have done, and the measure of his responsibility is that which the *cestuis que trust* must have been entitled to in whatever mode that duty was performed; that the trustee might have discharged his duty without purchasing Three per cent. Bank Annuities; that the trustee is not to be deemed retrospectively to have exercised the discretion one way or the other, but is answerable only for the consequences of not having exercised the discretion; that to compel the trustee to purchase a sum of stock because the price has since risen, is to regulate the liability by an accidental subsequent occurrence, and not by the superiority of the stock over a mortgage at the time when the investment ought to have been made (b).

81. **Trustees selling out stock improperly.**— If the trust fund be *standing on a proper security*, and the trustee calls it in for no purpose connected with the trust, and therefore in dereliction of his duty, or for a purpose not authorised by the terms of the trust, he will be compellable, at the option of the *cestuis que trust*, either to replace the specific stock, or the stock into which, if not sold out, it would have been converted by Act of Parliament (c), with the intermediate dividends (d), or to account for the proceeds of the sale (e) with interest at 5 per cent. (f). And the breach of trust will not be cured by a subsequent reinvestment upon the trusts unless the reinvestment be the same *in specie* (g). But in a case where the trustee did not seek to make anything himself, but was honourably unfortunate in having

(b) *Robinson v. Robinson*, 1 De G. M. & G. 247.

(c) *Phillipson v. Gatty*, 7 Hare, 516; *Norris v. Wright*, 14 Beav. 304, 305; *Phillipo v. Munnings*, 2 M. & Cr. 309.

(d) *Davenport v. Stafford*, 14 Beav. 335.

(e) *Bostock v. Blakeney*, 2 B. C. C. 653; *Ex parte Shakeshaft*, 3 B. C. C. 197; *O'Brien v. O'Brien*, 1 Moll. 533, *per* Sir A. Hart; *Raphael v. Boehm*, 11 Ves. 108, *per* Lord Eldon;

*Harrison v. Harrison*, 2 Atk. 121; *Bate v. Scales*, 12 Ves. 402; *Phillipson v. Gatty*, 7 Hare, 516; *Norris v. Wright*, 14 Beav. 305; *Roland v. Witherden*, 3 Mac. & G. 508; *Wiglesworth v. Wiglesworth*, 16 Beav. 269.

(f) *Crackelt v. Bethune*, 1 J. & W. 587; *Mosley v. Ward*, 11 Ves. 581; *Pocock v. Reddington*, 5 Ves. 794; *Piety v. Stace*, 4 Ves. 620; *Jones v. Foxall*, 15 Beav. 392.

(g) *Lander v. Weston*, 3 Drew. 309.